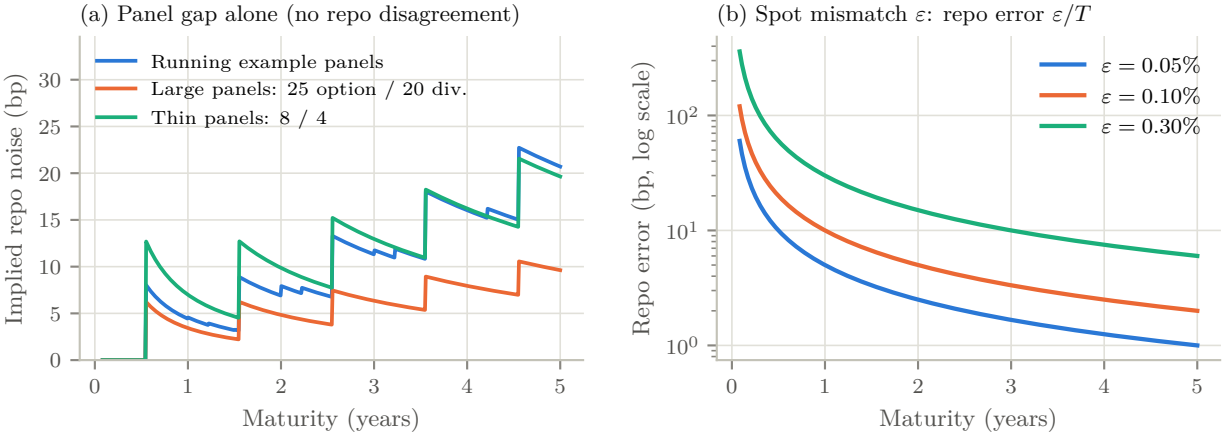

(a) Panel gap alone (no repo disagreement)
Running example panels
Large panels: 25 option / 20 div.
Thin panels: 8 / 4
Implied repo noise (bp)
0
5
10
15
20
25
30
0
1
2
3
4
5
Maturity (years)
(b) Spot mismatch ε: repo error ε/T
$\varepsilon = 0.05\%$
$\varepsilon = 0.10\%$
$\varepsilon = 0.30\%$
Repo error (bp, log scale)
10^2
10^1
10^0
0
1
2
3
4
5
Maturity (years)